Claims Payment Policy

Subject: Modifier FY

Application: Medicare Advantage Products
Policy number: CP2017011
Related policies: Common CPT and HCPCS Modifiers, Modifier FX

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Overview

The Centers for Medicare & Medicaid Services (CMS) has directed providers to use *modifier FY* to report X-ray services furnished using computed radiography (CR). Original Medicare reimbursement for the *technical component (TC)* of CR X-ray services reported with *modifier FY* is reduced for dates of service in 2018 through 2022 by seven percent and for dates of service in 2023 and subsequent years by 10 percent. The CR X-ray reimbursement reduction is required for the Medicare Program by the Consolidated Appropriations Act of 2016.

Transitioning from CR X-ray technology to digital radiography (DR) technology ensures use of the lowest radiation dose necessary to get the image quality needed by providers to make a proper diagnosis. Performing X-rays using DR technology ensures that a patient receives the highest standard of care as established by professional societies and regulatory agencies and helps reduce a patient's lifetime exposure to potentially cancer-causing medical radiation.

Humana works to reduce our members' exposure to medical radiation. Directly and through vendor partnerships, we educate our members on the risks of medical radiation exposure and encourage our in-network providers to provide high quality advanced diagnostic services that meet a broad set of industry standards.

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Medicare Advantage Payment Policy

In addition to the policy, claims payments are subject to other plan requirements for the processing and payment of claims, including, but not limited to, requirements of medical necessity and reasonableness and applicable referral or authorization requirements.

Humana plans require providers to follow the appropriate Medicare Program guidance for correct coding using *modifier FY*. Providers must append *modifier FY* to a procedure code for an X-ray service furnished using CR technology. The requirement applies to a *TC*-only charge and to a *global charge* for such a service.

Humana reduces reimbursement for the *TC* of such services by seven percent for dates of service beginning January 1, 2018, and by 10 percent for dates of service beginning January 1, 2023. The reduction applies to a *TC*-only charge and to the *TC* of a *global charge* for such a service.

Definitions of *Italicized* Terms

- ***Global charge***: A global charge is a single charge for both the technical component and the professional component of a service.
- ***Modifier FY***: X-ray taken using computed radiography technology/cassette-based imaging.
- ***Technical component (TC)***: The technical component of a service is for all non-physician work and includes administrative, personnel and capital (equipment and facility) costs and related malpractice expenses.

References

- Centers for Medicare & Medicaid Services website. Medicare Claims Processing Manual. Chapter 13 – Radiology Services and Other Diagnostic Procedures. Section 20.2.6 – Special Rule to Incentivize Transition from X-rays taken using Computed Radiography to Digital Radiography. www.cms.gov.
- Centers for Medicare & Medicaid Services HCPCS Level II and associated publications and services.

General Humana Resources

- Availity – Providers can register for access to information on a variety of topics such as eligibility, benefits, referrals, authorizations, claims and electronic remittances.
- Claims processing edit notifications – Alerts of upcoming claims payment changes are posted on the first Friday of each month.
- Claims resources – Providers can find information on referrals, authorizations, electronic claim submissions and more.
- Making it easier – This page contains an educational series for providers and healthcare professionals.
- Medical and pharmacy coverage policies – Humana publishes determinations of coverage of medical procedures, devices and medications for the treatment of various conditions. There may be variances in coverage among plans.
- Publications – This page can help you find our quarterly newsletter, provider manual and other resources to help you do business with us.

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